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Introduction

This publication provides a comprehensive report on the Economics examinations in the 2015 Diploma of Secondary Education Examination. It covers various aspects of the examination, including the objectives, contents and format of the examination, the question papers, the marking schemes, and the chief examiners' comments on candidates' performance in the live examination. Some statistics are also included.

Through this publication, we hope to provide useful information and feedback to assist teachers in their teaching of the subject and students in their learning. Similar publications are also available for other subjects in the 2015 HKDSE.

We would like to take this opportunity to express our gratitude to all the examination personnel who were involved in the development of question papers and the assessment of candidates' performance. Without their contributions, it would not have been possible for us to conduct the examination smoothly.

The Examination

Assessment Objectives

The objectives of this assessment are to evaluate students' abilities and achievements in the following:

1. to know and understand fundamental economic concepts and theories;
2. to apply such concepts and theories to explain real world situations, especially the Hong Kong economy;
3. to understand and interpret economic information presented in various forms;
4. to acquire the basic tools of economic analysis;
5. to analyze economic issues;
6. to evaluate arguments, proposals and policies from different perspectives and make informed judgments; and
7. to present ideas clearly, and in a well-reasoned manner, illustrating answers with diagrams and examples.

Synopsis of curriculum contents

For details, please refer to the Economics Curriculum and Assessment Guide (Secondary 4 to 6) jointly prepared by the Curriculum Development Council and the Hong Kong Examinations and Assessment Authority.

Compulsory Part

1. Basic Economic Concepts
2. Firms and Production
3. Market and Price
4. Competition and Market Structure
5. Efficiency, Equity and the Role of Government
6. Measurement of Economic Performance
7. National Income Determination and Price Level
8. Money and Banking
9. Macroeconomic Problems and Policies
10. International Trade and Finance

Elective Part

Elective Part 1: Monopoly Pricing, Anti-competitive Behaviours and Competition Policy; OR
Elective Part 2: Extension of Trade Theory, Economic Growth and Development

HONG KONG EXAMINATIONS AND ASSESSMENT AUTHORITY
HONG KONG DIPLOMA OF SECONDARY EDUCATION EXAMINATION 2015

ECONOMICS PAPER 1

8.30 am – 9.30 am (1 hour)

INSTRUCTIONS

1. Read carefully the instructions on the Answer Sheet. After the announcement of the start of the examination, you should first stick a barcode label and insert the information required in the spaces provided. No extra time will be given for sticking on the barcode label after the 'Time is up' announcement.
2. When told to open this book, you should check that all the questions are there. Look for the words '**END OF PAPER**' after the last question.
3. All questions carry equal marks.
4. **ANSWER ALL QUESTIONS.** You are advised to use an HB pencil to mark all the answers on the Answer Sheet, so that wrong marks can be completely erased with a clean rubber. You must mark the answers clearly; otherwise you will lose marks if the answers cannot be captured.
5. You should mark only **ONE** answer for each question. If you mark more than one answer, you will receive **NO MARKS** for that question.
6. No marks will be deducted for wrong answers.

Not to be taken away before the
end of the examination session

There are 45 questions in this paper. Choose the **BEST** answer for each question.

1. Which of the following are positive statements?
 - (1) Importation of labour from the mainland would result in a rise in job vacancies in Hong Kong.
 - (2) It would be better to import labour from the Guangdong province because they can speak Cantonese.
 - (3) Productivity of labour from China is higher than that from other Southeast Asian countries.
 - (4) Unemployment rate in Hong Kong would rise by 1% as a result of labour importation of 30 000 from the mainland.
 - A. (1) and (2) only
 - B. (3) and (4) only
 - C. (1), (3) and (4) only
 - D. (2), (3) and (4) only
2. David can choose to take the MTR or a bus to Yuen Long. Suppose the required travel time and the fares of both options are the same in a normal situation. Which of the following will result in an increase in the opportunity cost of travelling to Yuen Long by MTR?
 - A. The air-conditioner on the bus is out of order.
 - B. The traffic jam makes the bus trip 15 minutes longer.
 - C. A signalling problem causes the travel time of the MTR to increase by 15 minutes.
 - D. David feels annoyed about the news broadcast in the MTR train.
3. Which of the following is a characteristic of a market economy?
 - A. Income distribution is uneven in the economy.
 - B. The government has no role in regulating business activities in the economy.
 - C. Most factors of production in the economy are privately owned.
 - D. There is only price competition in the economy.
4. The _____ mobility of labour will decrease if _____.
 - A. geographical ... the government introduces "city-bike rental scheme" in all train stations
 - B. geographical ... several big companies set up child care centres in their offices
 - C. occupational ... the travelling subsidy provided by the government is reduced due to a budget deficit
 - D. occupational ... licences are required by the government for more professions

5. The schedule below shows the marginal cost of a firm in a perfectly competitive market.

Output (units)	3	4	5	6	7	8	9
Marginal cost (\$)	5	5.5	6	6.5	7	8	9.5

Suppose the rental of the machine hired, a fixed cost, increases by \$2 while the marginal cost for each unit of the output is reduced by \$0.5. As a result, the profit-maximising output of the firm _____ while the profit of the firm _____.

- A. increases ... decreases
- B. increases ... may increase or decrease
- C. decreases ... decreases
- D. decreases ... may increase or decrease

6. Refer to the following table.

	Factory A	Factory B
Number of full-time workers	25	0
Number of part-time workers	0	50
Average working hours of full-time workers	8	0
Average working hours of part-time workers	0	6
Total output (units)	12 000	15 000

Which of the following is a possible reason for the difference between the labour productivity of Factory A and Factory B?

- A. Factory A uses time rate while Factory B uses piece rate to pay its workers.
- B. Factory A provides more training for its workers.
- C. The part-time workers employed by Factory B are more skilled.
- D. Factory B uses more capital goods.

7. A firm has an independent legal entity but the owners cannot transfer their ownership without the consent of the other owners. When the owners want to expand the firm's business, they can _____.

- (1) use the retained profit of the firm
- (2) issue shares to the public to raise capital
- (3) borrow from friends to raise capital

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

8. 759Store, a local retailer of imported snacks, expands its business to sell cosmetics and skincare products. Which of the following is the **LEAST** likely motive behind the expansion?

- A. to reduce competition
- B. to enjoy economies of scale
- C. to extend its brand name to other products
- D. to spread risk by business diversification

9. The table below shows the total product of Firm A, which employs only capital and labour in production.

Labour (units)	Capital (units)	Total Product (units)
12	2	110
12	3	130
12	4	160
12	5	X

Which of the following statements about Firm A is correct?

- A. If the above data illustrate the law of diminishing marginal returns, the value of X can be equal to 180.
- B. If the above data illustrate the law of diminishing marginal returns, the value of X can be equal to 190.
- C. If the above data illustrate the law of diminishing marginal returns, the value of X can be larger than 200.
- D. The law of diminishing marginal returns does not apply to Firm A because capital is not a fixed factor.

10. Which of the following will result in a rise in the total revenue of chicken farms?

- A. The price of chicken feed falls.
- B. The government reduces the profits tax rate on chicken farms.
- C. The effective quota on the sale of chickens is increased.
- D. The government reduces the subsidy for the producers of pork.

11. The table below shows the relationship between the price of and the total expenditure on ice-cream.

Unit price (\$)	5	6	7	8
Total expenditure (\$)	25	30	35	40

From the above table, we can conclude that the elasticity of demand for ice-cream is _____ (without regard to its negative sign).

- A. between zero and one
- B. equal to zero
- C. larger than one
- D. equal to one

12. The government provides a per-unit subsidy of \$10 on producing green products. The market price drops by \$6 as a result. Which of the following statements about the green product market is/are correct?

- (1) The supply of green products is more elastic than their demand.
- (2) Consumers enjoy more subsidy benefit than producers.
- (3) The demand for green products increases.

- A. (2) only
- B. (1) and (2) only
- C. (1) and (3) only
- D. (1), (2) and (3)

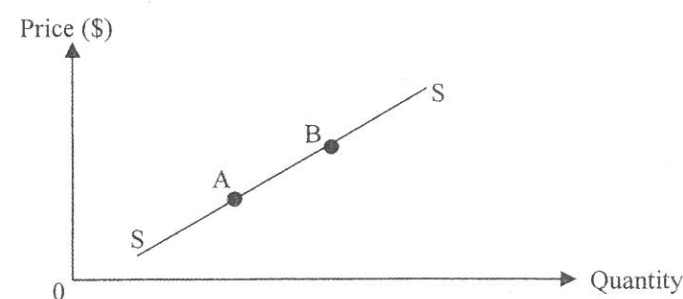
13. Many people queued up for days for the tickets to watch the show of Tsz-Wah, a famous artist performing stand-up comedy. Some people complained that they were unable to buy tickets even though they were willing to pay the ticket price set by the organiser. The above situation implies that

- A. price was the only criterion for allocating the tickets.
- B. the producer was not maximising its profit.
- C. a black market for the tickets might emerge.
- D. there was an effective price ceiling in the ticket market.

14. Holding other factors constant, a rise in the price of Good X will lead to a fall in the total revenue of Good Y if

- A. Good X and Good Y are complements.
- B. Good X and Good Y are substitutes.
- C. Good X and Good Y are in joint supply.
- D. Good X and Good Y are in competitive supply.

15. SS is the supply curve for smartphones. Which of the following reasons can best explain the change of the equilibrium position in the smartphone market from A to B?



- A. The retailers offer more free gifts for buying smartphones.
- B. The size of a tablet computer with a phone function is reduced.
- C. There are more smartphone producers in the market.
- D. The major network service providers increase the service charge at the same time.

16. Refer to the following table for the supply and demand schedules for a good.

Unit Price (\$)	4	5	6	7	8
Quantity demanded (units)	16	14	12	10	8
Quantity supplied (units)	14	14	14	14	14

The government imposes a \$2 per unit tax on the good. Which of the following statements about the good is correct?

- A. Sellers' revenue net of tax is \$70.
- B. The new market price is \$6.
- C. The total tax revenue is \$28.
- D. The above information is insufficient to determine the tax burden on sellers.

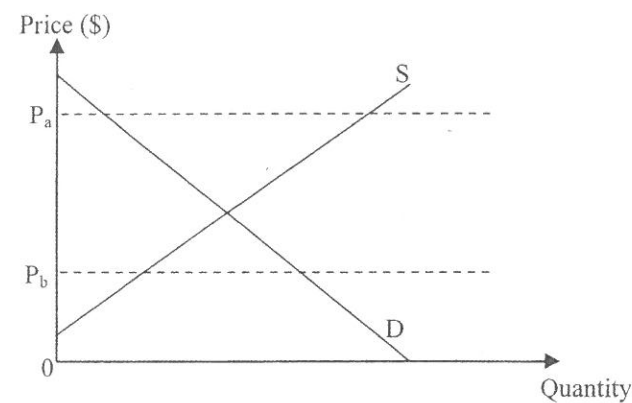
17. Which of the following is an example of the divergence between private and social benefits?

- A. A security guard watches live concerts when he is working in a concert hall.
- B. A tourist enjoys the music performed by a singer on the street and he does not pay for that.
- C. A resident living next to a karaoke lounge cannot fall asleep because of the noise.
- D. After the removal of the airport, the market value of the residential flats in that region increases.

18. Which of the following is **INCONSISTENT** with the law of demand?

- A. More high-quality Japanese grapes are imported to Hong Kong during Mid-Autumn Festival.
- B. An increase of the per unit tax on beer results in a fall in the quantity of small-bottle beer sold in the market.
- C. After the introduction of the airport departure tax which is a fixed amount for any traveller, the average length of airplane journeys decreases.
- D. The birth rate increases when the income tax allowance for children increases.

19. Refer to the following diagram.



If the government lowers the price ceiling from P_a to P_b ,

- A. the quantity transacted will increase.
- B. the deadweight loss will decrease.
- C. the producer surplus will decrease.
- D. the consumer surplus will increase.

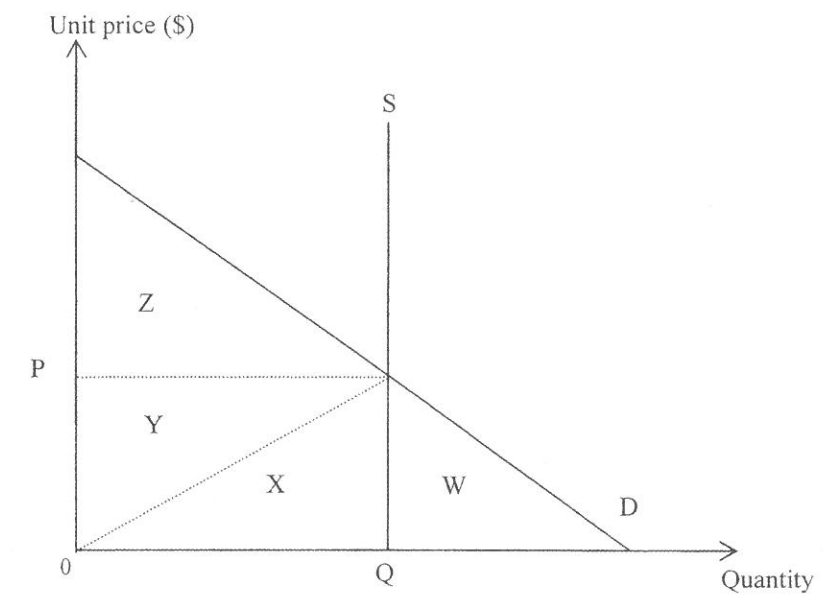
20. Which of the following statements about the theme park industry in Hong Kong is correct?

- A. Hong Kong Disneyland is a monopolist because its average cost of production drops when there are more tourists.
- B. Hong Kong Disneyland guarantees a profit because it is protected by the government.
- C. Hong Kong Disneyland and Ocean Park Hong Kong have no competition with each other as tourists may go to both theme parks.
- D. Hong Kong Disneyland and Ocean Park Hong Kong are interdependent in their marketing strategies.

21. Suppose the post-tax Gini coefficient of an economy is larger than its pre-tax Gini coefficient. This implies that

- A. the government has increased the amount of transfer payment to the poor.
- B. the tax system of the economy is likely to be regressive.
- C. the problem of income inequality is worse than that in the previous year.
- D. the government should reform the tax system.

22. Refer to the following diagram.



The maximum total social surplus is equal to _____.

- A. area Z
- B. area (Y+Z)
- C. area (W+X+Y)
- D. area (X+Y+Z)

23. The following table shows the employment distribution in an economy.

Sector \ Year	2010	2014
Primary	0.4%	0.4%
Secondary	23.6%	18.5%
Tertiary	76.0%	81.1%
Total	100%	100%

From the above table, we can conclude that from 2010 to 2014,

- A. the number of workers engaged in the primary sector remained constant.
- B. the overall employment rate was the same.
- C. the contribution of the tertiary sector to gross domestic product (GDP) increased.
- D. the relative importance of the secondary sector in terms of employment decreased.

24. Which of the following would be included in the calculation of Hong Kong's GDP for 2014?

- A. the old age allowance paid by the government in 2014
- B. the market value of a flat built in 2013 but sold in 2014
- C. the salary of a salesperson working in a shop selling second-hand handbags in 2014
- D. the rental income from a property in Canada owned by a Hong Kong resident producing unit in 2014

25. Refer to the following table about an economy.

	Growth rate (relative to previous year) (%)	
	Year 1	Year 2
Nominal GDP	4	0
General price level	3	1
Population	-1	2

Which of the following statements about the economy is correct?

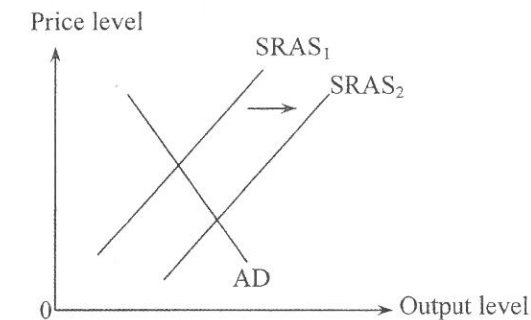
- A. The per capita nominal GDP in year 2 is the same as that in year 1.
- B. The real output increased in year 2.
- C. The general price level decreased in year 2.
- D. The per capita real GDP decreased in year 2.

26. Which of the following will result in a rightward shift of the aggregate demand curve of a country?

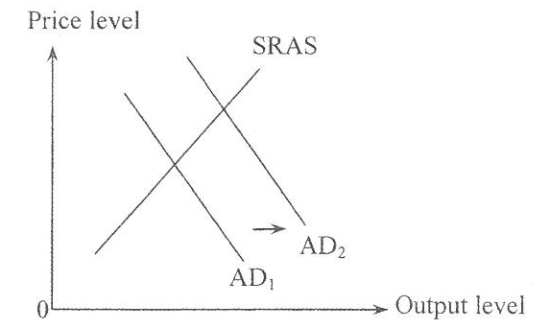
- A. The central bank reduces the discount rate.
- B. The minimum wage rate is increased.
- C. The general price level decreases.
- D. Its trading partners suffer from an economic recession.

27. The government provides cash subsidies for new-born children from their birth to age 10. Which of the following diagrams best illustrates the effect of the subsidies on the economy after twenty years?

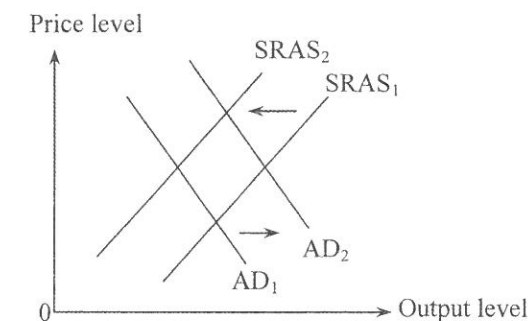
A.



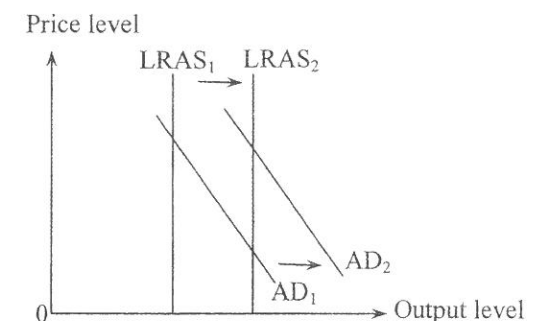
B.



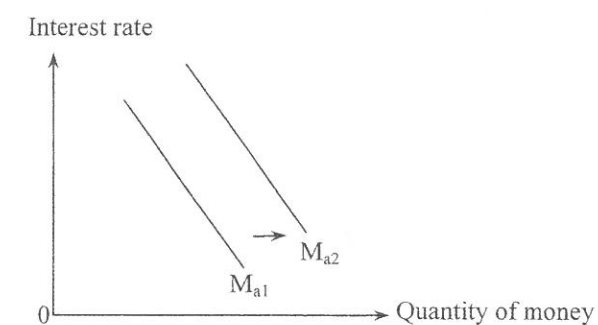
C.



D.



28. Refer to the following diagram.



The curve of asset demand for money will shift from M_{a1} to M_{a2} when

- A. the risk of investing in the stock market increases.
- B. the interest rate decreases.
- C. the general price level rises.
- D. the government reduces the income tax rate.

29. Study the following balance sheet of a banking system. The required reserve ratio is 20%.

Assets (\$million)		Liabilities (\$million)	
Reserves	300	Deposits	1 000
Loans	700		

If the central bank issues newly printed banknotes worth \$200 million, the cash held by the non-bank public will increase by \$100 million and the money supply will increase by \$500 million. The total amount of excess reserves in the banking system will then be _____.

- A. \$100 million
B. \$120 million
C. \$280 million
D. \$400 million
30. Which of the following transactions would increase the money supply (M2) of Hong Kong?
- A. Ms Chan transfers \$500 000 from her time deposit account in a restricted licence bank to her time deposit account in a licensed bank.
B. Mr Lee transfers \$200 000 from his current account to his savings account in a licensed bank.
C. Mr Man deposits \$100 000 cash into his savings account in a licensed bank.
D. Ms Chung deposits \$600 000 cash into her time deposit account in a deposit-taking company.
31. If the nominal interest rate is 5% and the expected inflation rate is 3%, the cost of holding money is _____, the nominal return of holding money is _____ and the expected real interest rate is _____.
- A. 5% -3% 2%
B. 5% 0% 2%
C. 8% -3% 3%
D. 8% 0% 3%
32. The monetary base increases when
- A. the commercial banks hold less excess reserves.
B. the commercial banks buy government bonds from the public.
C. the central bank buys government bonds from the public.
D. the central bank increases the discount rate.

33. The quantity theory of money implies that

- A. an increase in money supply will lead to a rise in price level when real output is falling.
B. the economy is always at the full employment output level.
C. an increase in money supply will lead to a decrease in the velocity of circulation of money when real output is kept constant.
D. an increase in money supply will lead to a same-proportional increase in real output.

34. Which of the following are indirect taxes in Hong Kong?

- (1) property tax
(2) rates on property
(3) stamp duty on transfer of stock
(4) general sales tax

- A. (1) and (2) only
B. (2) and (3) only
C. (1), (3) and (4) only
D. (2), (3) and (4) only

35. Refer to the following news extract.

Yu'e Bao (餘額寶) is a new online investment fund introduced by Alibaba. Much of the popularity of Yu'e Bao has come from its ability to give customers the convenience of a demand deposit—meaning they can withdraw their funds whenever they like—but with returns well above what a bank could offer. It recently advertised an annualised return of 5.25%, but that level has on occasion risen to above 7% since the fund was set up. By contrast, banks offer 3.3% as interest for a one-year fixed deposit and close to nothing on savings deposits.

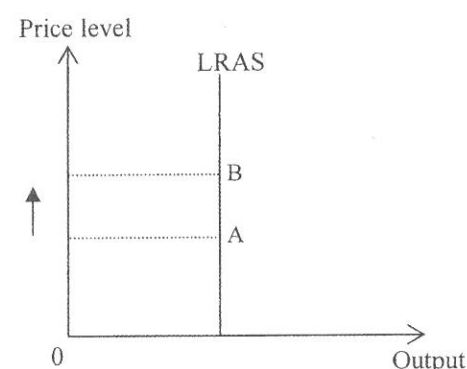
Yu'e Bao is a better _____ as compared with bank deposits because _____.

- A. unit of account it provides a homogeneous means of payment
B. unit of account it can facilitate people's buying and selling of goods and services
C. store of value it allows customers to have higher purchasing power in the future
D. store of value the customers can keep their unused funds in Yu'e Bao

36. When unanticipated deflation occurs, which of the following people will lose?

- A. people paying a fixed amount of rental payment
B. people receiving interest from their savings deposits
C. people repaying a mortgage loan at a floating interest rate
D. people working under a fixed nominal wage contract

37. Refer to the following aggregate supply diagram.



When the economy moves from point A to point B, which of the following will **NOT** change?

- (1) real output
(2) nominal output
(3) potential output
- A. (1) only
B. (2) only
C. (1) and (3) only
D. (1), (2) and (3)
38. Initially an economy operates at the long-run equilibrium. Which of the following will lead to a deflationary (output) gap in the economy?
- A. The government increases the salaries tax rate.
B. The government reduces the profits tax rate.
C. The government invests in the construction of a cross-border express rail link.
D. The central bank reduces the required reserve ratio.
39. In an economy with severe inflation and income inequality, the government can lower the price level and reduce the income gap by
- A. increasing the environmental tax on handling household sewage.
B. increasing the salaries tax and its progressivity.
C. reducing its spending on social welfare.
D. reducing the personal allowance of the salaries tax.

40. Assume the labour input requirements for the production of computers and toys in Japan and Hong Kong are as follows:

	1 unit of computers	1 unit of toys
Japan	2 man-hours	6 man-hours
Hong Kong	4 man-hours	8 man-hours

Suppose there is no transportation cost. Which of the following can be the terms of trade so that trade is mutually beneficial to Japan and Hong Kong?

- A. 1 unit of computers exchanges for 0.4 units of toys
B. 1 unit of computers exchanges for 0.5 units of toys
C. 1 unit of computers exchanges for 1 unit of toys
D. 1 unit of computers exchanges for 2.5 units of toys
41. A country has an absolute advantage in producing good X. Which of the following statements about the country is correct?
- A. The country can produce a greater amount of good X than another good with the same amount of resources.
B. The country has a comparative advantage in producing good X.
C. The country has an absolute disadvantage in producing another good.
D. The country may import good X from the international market.
42. Under the linked exchange rate system of Hong Kong, which of the following statements is correct?
- A. The money supply (M1) of Hong Kong has to be fully backed up by the US dollar.
B. The market exchange rate of the HK dollar to the US dollar is fixed at 1 USD to 7.8 HKD by the Hong Kong Monetary Authority.
C. Hong Kong's import volume will increase when the US dollar appreciates against other currencies.
D. A current account deficit in the US will lead to a current account deficit in Hong Kong.
43. A lecturer from the US has been working in Hong Kong for 10 years. Which of the following would be included in the calculation of Hong Kong's current account balance?
- (1) the money he gives to his wife in Hong Kong
(2) the money he uses to buy shares listed in the US stock market
(3) the money he donates to a charity organization in Africa
(4) the money he spends on visiting his parents in the US
- A. (1) and (2) only
B. (1) and (4) only
C. (2) and (3) only
D. (3) and (4) only

44. The following table shows some information about the balance of payments of Country A.

Items	\$ million
Balance on goods	-1 200
Balance on services	700
Net factor income from abroad	200
Net current transfer	-100
Increase in reserve assets	180

According to the above data, which of the following statements are correct?

- (1) The current account deficit is \$400 million.
(2) Country A's GDP is smaller than its gross national product.
(3) The balance of payments surplus is \$180 million.

- A. (1) and (2) only
B. (1) and (3) only
C. (2) and (3) only
D. (1), (2) and (3)

45. The supply curve of a certain good is upward-sloping in a small open economy. What is the main difference between imposing an effective import quota and a tariff on the good?

- A. Imposing an effective import quota will lower the volume of import while imposing a tariff will not.
B. Imposing an effective import quota will result in a rise in consumer surplus of the good while imposing a tariff may not.
C. Imposing a tariff will raise the world price of the good while imposing an effective import quota will not.
D. Imposing a tariff will result in an increase in the government revenue while imposing an effective import quota may not.

END OF PAPER

Sources of materials used in this paper will be acknowledged in the *Examination Report and Question Papers* published by the Hong Kong Examinations and Assessment Authority at a later stage.

**2015-DSE
ECON**

PAPER 2

HONG KONG EXAMINATIONS AND ASSESSMENT AUTHORITY
HONG KONG DIPLOMA OF SECONDARY EDUCATION EXAMINATION 2015

ECONOMICS PAPER 2

Question-Answer Book

10:15 am – 12:30 pm (2 hours 15 minutes)
This paper must be answered in English

INSTRUCTIONS

- (1) After the announcement of the start of the examination, you should first write your Candidate Number in the space provided on Page 1 and stick barcode labels in the spaces provided on Pages 1, 3, 5, 7 and 9.
- (2) This paper consists of three sections, A, B and C. Answer ALL questions in sections A and B. Attempt any ONE question in section C.
- (3) Write your answers in the spaces provided in this Question-Answer Book. Do not write in the margins. Answers written in the margins will not be marked.
- (4) Supplementary answer sheets will be supplied on request. Write your candidate number, mark the question number box and stick a barcode label on each sheet, and fasten them with string INSIDE this book.
- (5) No extra time will be given to candidates for sticking on the barcode labels or filling in the question number boxes after the 'Time is up' announcement.

Please stick the barcode label here.

Candidate Number



Section A (50 marks)

1. More and more famous universities offer “massive open online courses” (MOOC) to students from various backgrounds for systematic learning.
- (a) Most of the teaching materials in MOOC can be accessed online by anyone free of charge. Explain whether these materials are
- (i) free goods; (2 marks)
- (ii) public goods. (3 marks)
- (b) Some people prefer to take free MOOC while others prefer to take paid courses conducted on the university campus. If the courses are with the same contents and number of teaching hours, will the cost for a person to take a free MOOC be *necessarily* lower than the cost for another person to take a paid on-campus course? Explain. (3 marks)

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Please stick the barcode label here.

2. Many electronic product retailers are located in Mong Kok.
- (a) To which type of production do electronic product retailers belong? Explain your answer. (2 marks)
- (b) Suggest **TWO** reasons why an electronic product retailer in Mong Kok may enjoy external economies of scale. (4 marks)

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

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Answers written in the margins will not be marked.

3. An increase in an effective quota in the market of a good would lead to a reduction in deadweight loss. Do you agree? Explain your answer with the aid of a diagram. (6 marks)

Answers written in the margins will not be marked.

4. Read the following news extract.

The strong preference for small flats has pushed the prices of the flats under 400 square feet to a new high in the past few months. It is expected that more and more small flats will be available for sale in the coming future.

- (a) Explain **ONE** function of price which can be found in the above news extract. (2 marks)
- (b) Explain how the supply of large flats would be affected by the strong preference for small flats. (2 marks)

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

5. Macau has developed rapidly in recent years and some workers in Hong Kong have been attracted to work there. Suppose the number of job positions in Hong Kong is constant. What would be the effect of the above phenomenon on the unemployment rate in Hong Kong? Explain your answer. (4 marks)

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

6. Study the following balance sheet of the banking system in Country A.

Assets (\$million)		Liabilities (\$million)	
Reserves	1 000	Deposits	5 000
Loans	4 000		

Suppose all banks are fully loaned up and never hold excess reserves. The public always holds \$150 million in cash.

(a) Calculate the following items of this banking system:

- (i) legal reserve ratio (1 mark)
(ii) money supply (2 marks)

A firm in Country A has received \$50 million from abroad and deposited the sum of money into a bank.

- (b) Calculate the new monetary base in Country A. Show your workings. (2 marks)
(c) Calculate the new money supply in Country A. Show your workings. (3 marks)

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

7. Suppose both Country A and Country B use **ALL** their resources in production. Their maximum output is shown in the table below.

	Rice (units)	OR	Clothing (units)
Country A	15		3
Country B	8		4

- (a) Explain whether Country B has an absolute advantage in producing clothing. (2 marks)
(b) The rice-exporting country exports 12 units of rice in exchange for 3 units of clothing. Calculate the total gain from trade for the clothing-exporting country. Show your workings. (4 marks)

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Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

8. The government is considering spending a certain sum of its budget surplus on the following two proposals:
- Proposal 1: To extend the free education to 15 years
Proposal 2: To provide unemployment benefits
- Evaluate the two proposals in terms of *equality* and the *effect on aggregate output*. (8 marks)

END OF SECTION A

Answers written in the margins will not be marked.

Section B (54 marks)

9. McDonald's is one of the major fast food chains in Hong Kong.
- (a) McDonald's is a private limited company in Hong Kong. State **ONE** advantage and **ONE** disadvantage of forming a private limited company over forming a public limited company. (2 marks)
- (b) McDonald's has expanded its business by operating McCafé, which sells premium coffee like other coffeehouses such as Starbucks. To which type of expansion does this belong? Explain. (2 marks)
- (c) The price of a cup of Espresso in McCafé is lower than that in Starbucks. Suggest **TWO** possible reasons to explain why there is such a price difference. (4 marks)
- (d) In July 2014, McDonald's was accused of using expired meat as an ingredient for its food. Later, the related products were destroyed. Explain whether the value of these destroyed products would be included in the calculation of Hong Kong's gross domestic product. (2 marks)

Answers written in the margins will not be marked.

10. Suppose a football club in Hong Kong hired a famous football player from Brazil as the coach for a 2-month course for kids. He received \$8 million as his salary and returned to Brazil afterwards. However, the enrollment of the course was poor and the revenue from the course was \$3 million only.

- (a) What is the effect of organising the above course on each of the following items? Explain.
- (i) Hong Kong's gross domestic product (GDP) (2 marks)
 - (ii) Hong Kong's gross national product (GNP) (3 marks)

(b) The following are contracts for two professional football players.

Contract A
Player A:
\$10 000
per week

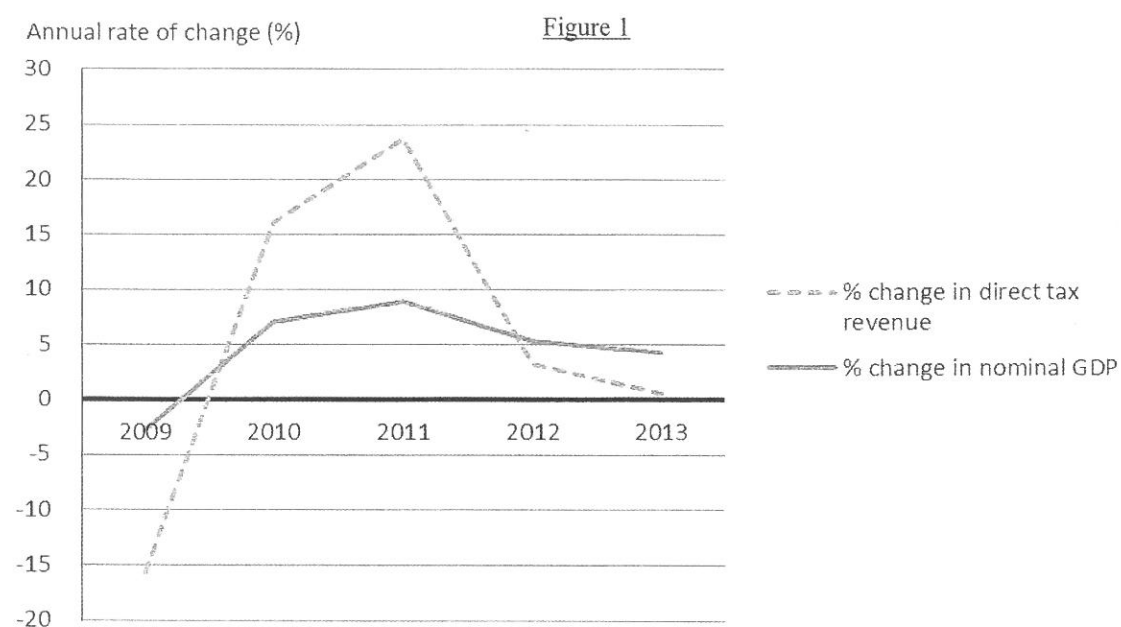
Contract B
Player B:
\$8 000 per match +
\$10 000 for each
goal scored

Explain **TWO** advantages of Contract B over Contract A from the viewpoint of the employer. (4 marks)

- (c) Professional football players often retire in their mid-thirties. Although most of them have once been well-paid as footballers, some of them can only find low-paid jobs after retirement. Explain the above phenomenon in terms of labour mobility. (3 marks)

Answers written in the margins will not be marked.

11. Figure 1 shows the percentage changes in direct tax revenue and nominal GDP in Hong Kong for the years 2009-2013.



- (a) (i) With reference to Figure 1, describe the relationship between the percentage change in direct tax revenue and the percentage change in nominal GDP for the years 2009-2013 and compare their trends. (2 marks)
- (ii) Briefly explain the relationship you described in (a)(i). (2 marks)
- (b) An accountant commented that the tax base of Hong Kong is narrow and suggested the government should introduce new types of indirect tax. Explain, with **ONE** example, how the introduction of a new indirect tax would broaden the tax base. (2 marks)
- Tobacco duty is an indirect tax in Hong Kong. The Financial Secretary has increased the tobacco duty rate with the aim of discouraging smoking.
- (c) An economist stated, "Other things being constant, the rise in the tobacco duty rate would not effectively reduce the quantity consumed of duty-paid cigarettes." Justify his statement **WITHOUT** using a diagram. (4 marks)
- (d) In addition to the rise in tobacco duty, the Customs has made more effort to prevent the illegal sale of duty-not-paid cigarettes and has cracked down several illegal sellers. Is it possible that the quantity transacted of duty-not-paid cigarettes would increase? With the aid of a diagram, explain your answer. (7 marks)

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Answers written in the margins will not be marked.

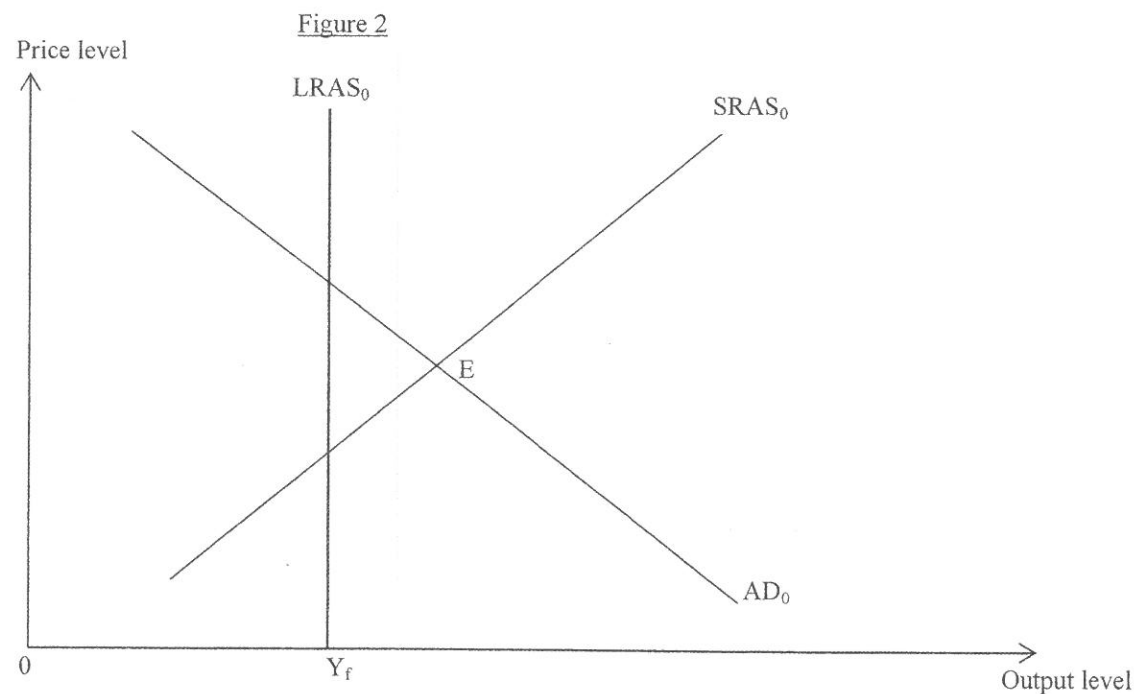
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12. Research shows that the “Individual Visit Scheme” of mainland tourists has brought economic benefits to Hong Kong. However, more and more Hong Kong residents have called on the government to reduce the number of mainland tourists to Hong Kong under the Scheme.

- (a) How would the current account of Hong Kong be affected if the government limited the scale of the Scheme so that the number of tourists from the mainland would drop? Explain your answer. (2 marks)

An economist uses the AS-AD model to analyse the current situation in Hong Kong. In his analysis, point E in Figure 2 represents the initial short-run equilibrium of the Hong Kong economy.



- (b) He points out that the government can help the economy restore to its long-run equilibrium. With the aid of Figure 2, explain how the reduction in the number of tourists from the mainland can lower the output level to Y_f . (5 marks)
- (c) He also states that even without the help of the government, market forces can restore the economy to its long-run equilibrium. **WITHOUT** using a diagram, explain how market forces can lower the output level to Y_f in the long run. (4 marks)
- (d) Some residents complained that the large number of tourists overloaded the public transportation system, resulting in a large increase in travel time for all passengers. Explain, in terms of externality, why inefficiency may exist when the transportation system is overcrowded. (4 marks)

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Answers written in the margins will not be marked.

END OF SECTION B

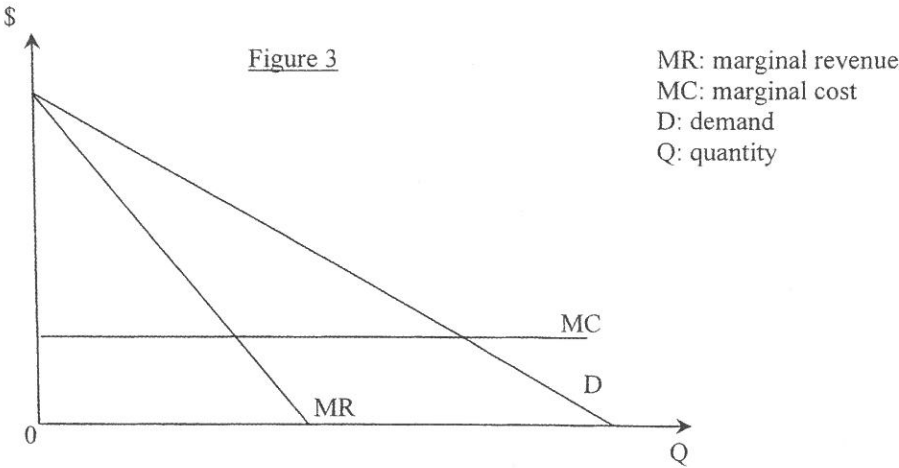
Answers written in the margins will not be marked.

Section C (16 marks) Answer any ONE question.

Elective 1

13. Super Power is the only licensed power supplier in City X. It adopts uniform pricing to maximise its profit.

- (a) Indicate the quantity that it would produce as Q_1 and the corresponding price as P_1 in Figure 3. Briefly explain your answer. (3 marks)



- (b) Explain, with the aid of Figure 3, why it is inefficient to adopt uniform pricing. (2 marks)
- (c) The government imposes a lump sum tax, which is a fixed amount regardless of the quantity produced, on Super Power.
- (i) Explain whether Super Power's marginal cost will increase because of the lump sum tax. (2 marks)
- (ii) Indicate the after-tax output and price of Super Power as Q_2 and P_2 respectively in Figure 3. (2 marks)
- (d) Super Power charges the domestic users \$1.2 per unit of power consumed and the industrial users \$0.9 per unit of power consumed. Does this pricing arrangement constitute price discrimination? Explain. (3 marks)
- (e) Super Power has taken over the major coal supplier, which provides 90% of raw materials for the production of electricity in City X. Name the anti-competitive behaviour that Super Power may constitute and explain how such behaviour restrains competition. (2 marks)
- (f) The owners of Super Power claim the takeover in (e) is not anti-competitive. Justify their claim with ONE reason. (2 marks)

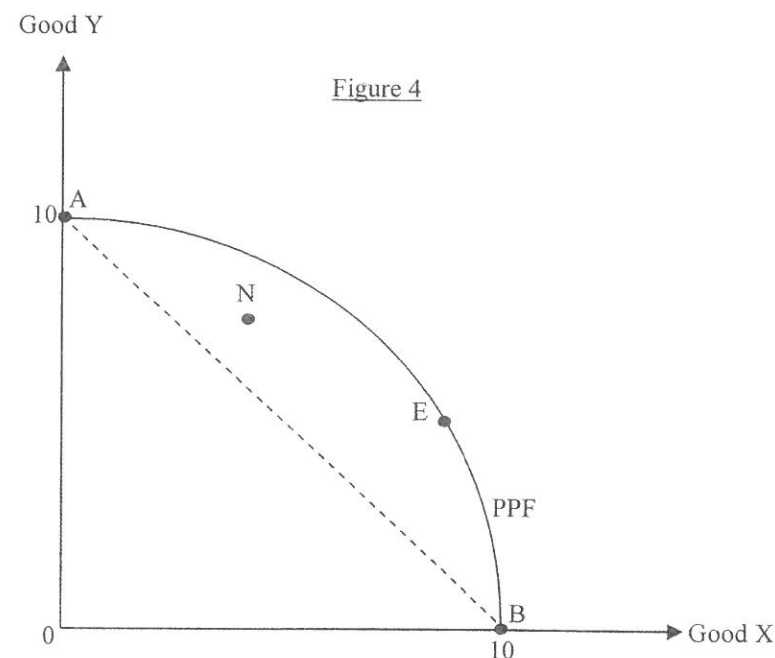
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Elective 2

14. In Figure 4, PPF is a country's production possibility frontier where E is the production point without trade. At point E, the domestic cost of production of one unit of good X is 2.5 units of good Y.



- Explain whether the country would produce at point N. (2 marks)
- The slope of dotted line AB is the world price of good X. Explain whether the country has a comparative advantage in producing good X. (3 marks)
- Suppose the country engages in international trade. Indicate its production point after trade and its consumption possibility frontier in Figure 4. (3 marks)
- With the aid of Figure 4, explain whether the country will gain from trade. (3 marks)
- After the country's opening up for trade, its Human Development Index (HDI) has risen.
 - Give **ONE** reason why international trade can lead to a rise in HDI. (1 mark)
 - Despite the rise in HDI, the residents in the country generally agree that the living standard has declined. Suggest **TWO** possible reasons to explain their view. (4 marks)

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Answers written in the margins will not be marked.

END OF PAPER

Sources of materials used in this paper will be acknowledged in the *Examination Report and Question Papers* published by the Hong Kong Examinations and Assessment Authority at a later stage.

Answers written in the margins will not be marked.

Question No. _____

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Answers written in the margins will not be marked.

Paper 1

Question No.	Key	Question No.	Key
1.	C (71)	26.	A (62)
2.	C (63)	27.	D (68)
3.	C (75)	28.	A (55)
4.	D (89)	29.	B (43)
5.	B (41)	30.	A (70)
6.	B (73)	31.	B (52)
7.	B (74)	32.	C (64)
8.	A (88)	33.	A (58)
9.	A (79)	34.	B (20)
10.	D (32)	35.	C (78)
11.	B (47)	36.	A (72)
12.	B (48)	37.	C (59)
13.	C (57)	38.	A (73)
14.	A (69)	39.	B (84)
15.	A (58)	40.	A (66)
16.	C (48)	41.	D (45)
17.	B (45)	42.	C (62)
18.	C (53)	43.	D (54)
19.	C (67)	44.	D (19)
20.	D (88)	45.	D (68)
21.	B (63)		
22.	D (64)		
23.	D (72)		
24.	C (75)		
25.	D (64)		

Note: Figures in brackets indicate the percentages of candidates choosing the correct answers.

These documents were prepared for markers' reference. They should not be regarded as sets of model answers. Candidates and teachers who were not involved in the marking process are advised to interpret their contents with care.

The answers provided in the marking scheme are for reference only. They are not the only possible answers. Alternative answers are acceptable so long as they are well reasoned.

The examination emphasises the testing of the understanding of economic theories and the application of the knowledge of economic analysis to practical problems. Candidates are advised to study this document in conjunction with the examiner's comments on candidates' performance in this booklet.

For essay-type questions, candidates are expected to demonstrate an understanding of the question, an ability to deploy relevant knowledge of the subject in response to the questions, and to present their answers logically and coherently.

In questions asking for a specified number of reasons or examples etc. and a candidate gives more than the required number, the extra answers should not be marked. For instance, in a question asking candidates to provide two examples, and if a candidate gives three answers, only the first two should be marked.

The following symbols are used:

- / A single slash indicates an acceptable alternative within an answer.
- @ The number in front of the symbol indicates the marks for each point.
- max Maximum mark for the question/sub-question

Section A

1.

(a)

(i)

No,
because it has positive marginal cost of production; or
because it is produced from scarce resources, which have alternative uses. ¹

(ii)

Yes, ²
because a person can download and study the course materials without
reducing the availability of those materials to others, i.e., these materials are
non-rivalrous in consumption.
- (1)
(1)

(b)

No,
because the time cost of a person taking MOOC may be higher than the time cost
of another person taking on campus course plus the course fee;
or the former person (MOCC student) may have to spend extra time to
access/download the course materials and to communicate with the course
instructor or teaching assistant;
or the former person may also have to pay for internet connection in order to
access the course materials.

(1)
(2)

2.

(a)

Tertiary production
as it provides retail services.

(b)

Reasons:
– reduce cost of marketing and promotion
– reduce transportation cost for suppliers
– more related businesses available such as accessories and repair
– any other relevant point
[Mark the FIRST TWO points only.]
- (1)
(1)

@2
max: 4

¹ Or because it has positive marginal use value (MUV).

² The answer can be “No” if there exist network capacity constraints (or congestion problems) in downloading the course materials.

3. Agree.

Marks

(1)

Verbal elaboration:

The increase in effective quota would raise the supply and thus raise the quantity transacted and reduce the price.

(1)

The gap between marginal benefit and marginal cost is reduced as the quantity produced is increased toward its efficient level.

(1)

Indicate on the diagram:

– Rightward shift of the supply curve corresponding to an increase in quota

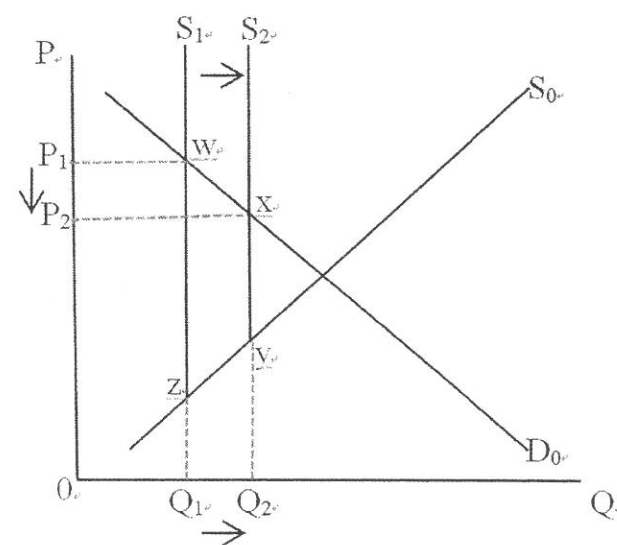
(1)

– A reduction in P and a rise in Q

(1)

– Correct position for the reduction in deadweight loss (area wxyz)

(1)



4 (a) Functions of price:

- Higher prices of small-sized flats would induce real-estate developers to direct more resources towards the production of small flats. [allocative function]
- Prices help transmit information about consumer demand relative to producer supply. [signal function]

[Mark the FIRST point only.]

Marks

@2
max: 2

(b) The supply of large flats would drop as small flats and large flats are in competitive supply.³

(1)

(1)

5. Unemployment rate = (number of unemployed / total labour force) × 100%

Marks

(4)

Since both total labour force and number of unemployed drop by an equal amount, the percentage decrease in the unemployed population is greater than the percentage decrease in the total labour force, implying a reduction in the unemployment rate.

6. (a) (i) Legal Reserve ratio = \$1000 million / \$5000 million = 0.2

Marks

(1)

(ii) Money supply = \$150 million + \$5000 million = \$5150 million

(2)

(b) New monetary base = \$150 million + \$1050 million = \$1200 million

(2)

(c) New money supply = \$150 million + \$1050 million / 0.2 = \$5400 million

(3)

7. (a) Uncertain. Since the amount of resources owned by the two countries is not given, their productivities (i.e., output-input ratios) cannot be determined and compared.

Marks

(2)

(b) In Country A, the opportunity cost in producing 1 unit of clothing (C) in terms of rice (R) = $15/3 = 5$ units of rice (R).
In Country B, the opportunity cost in producing 1 unit of clothing (C) in terms of rice (R) = $8/4 = 2$ units of rice (R).
Therefore Country A (B) enjoys comparative advantage in producing rice (clothing).

(1)

(1)

Per unit gain from trade for Country B = $4R - 2R = 2R$

Total gain from trade = $(4R - 2R) \times 3 = 6R$

OR

In other words, Country B would be the clothing-exporting country, producing 4C, exporting 3C in exchange for 12R and keeping 1C for domestic consumption.

Without trade, it could have produced 1C and 6R on its own. Its total gain from trade is thus $6R (= 12R - 6R)$.⁴

} either
one;
max: 2

⁴ Using knowledge learned in Elective 2, candidates may reach different answers depending on their assumptions about the initial, before-trade production point. (Actually, information about preferences of Country B's consumers is required to determine its autarky equilibrium, hence gains from trade.) Suppose, without trade, Country B would produce R_B units of rice and C_B units of clothing. Its total gains from trade are thus $(12 - R_B)$ units of rice plus $(1 - C_B)$ units of clothing. Given that the terms of trade (TOT) equal $4 (= 12/3)$ units of rice per unit clothing, these gains amount to $(12 - R_B)/4 + (1 - C_B)$ units of clothing or $(12 - R_B) + (1 - C_B) \times 4$ units of rice.

³ Assuming the absence of differential land-use restrictions for flats of different sizes.

8. Proposal 1:
- Equalizing opportunities:
Free education for longer years means that the poor are able to receive more education and improve their productivity and hence income-earning power in the future.
 - Other things equal, more money spent on education would increase government expenditure, leading to an increase in aggregate demand and thus aggregate output. [Demand effect]
 - Free education for longer years would improve labour productivity and thus aggregate output over time. [Supply effect]
 - Provision of free education beyond normal school age would reduce labour supply (by keeping more people at school) and thus aggregate output in the current period. [Cost of investment in human capital]
 - Any other relevant point
- Marks
- @2;
max: 4

- Proposal 2:
- Equalizing income/outcome:
More welfare payments to the unemployed could help reduce the income inequality between the employed (rich) and the unemployed (poor).⁵
 - Unemployment benefits would increase the disposable income and consumption of the jobless, and thus aggregate demand, resulting in a rise in aggregate output. [Demand effect]
 - Unemployment benefits may, however, produce disincentive effects on labour supply, resulting in de-skilling of labour (i.e., decumulation of human capital) and a drop in aggregate output now and in the future. [Supply effect]
 - Any other relevant point
- Marks
- @2;
max: 4

⁵ But this may NOT serve to narrow the income gap between the rich and the poor in the case of high-skill unemployment.

Section B

9. (a) Advantage:
- Lower risk of being taken over
 - No need to disclose accounting information to the public
 - Any other relevant point
[Mark the FIRST point only.]
- Disadvantage:
- Owners cannot freely transfer their stocks
 - The firm cannot raise capital by issuing stocks to the general public
 - Any other relevant point
[Mark the FIRST point only.]
- (b) Lateral expansion,
as fast food and coffee are related but not directly competitive products.
- (1)
(1)
- (c) Possible reasons:
- Lower-quality coffee
 - Lower production cost
 - Less pleasant environment
 - Less attractive brand name
 - Any other relevant point
[Mark the FIRST TWO point only.]
- (d) No,⁶
- because it is not sold to the market and thus not counted in production [Output Approach]
 - because it is neither counted in consumption nor investment [Expenditure Approach]
- Marks
- @1
max: 1
- @1
max: 1
- @2
max: 4
- (1)
@1
max: 1

⁶ Or because business losses due to destroyed products (i.e., negative profits) would offset exactly wages paid to workers and other material costs incurred in producing these products (i.e., positive wage and other factor incomes). [Income Approach]

10	(a) (i)	HK's GDP would increase (by \$3 million). As the course is a current-year production by a resident production unit, its value would be included in GDP.	Marks (2)
	(ii)	HK's GNP would decrease (by \$5 million), as change in GNP = change in GDP (+\$3 million) + change in net income from abroad (−\$8 million). As the Brazilian coach is NOT a HK resident, the \$8 million he received would be counted as income outflow and enter as a negative item in HK's national income account.	(3)
	(b)	Advantage of Contract B over Contract A: – The owner of the football team can share some business risks with Player B as the former would make less payment to the latter when no match is played and/or no goal is scored – The owner of the football team can have a lower cost of monitoring players's performance as Player B would have a higher work incentive in training and in matches – Any other relevant point [Mark the FIRST TWO point only.]	@2 max: 4
	(c)	Professional football players have low occupational mobility, as their skills are very specific and not easily transferable to other jobs.	(2) (1)

11	(a) (i)	The percentage change in direct tax revenue and percentage change in nominal GDP tend to move in the same direction. Fluctuation of the former is greater than that of the latter.	Marks (2)
	(ii)	Direct taxes in the form of income taxes (such as taxes on salaries and profits) are highly affected by the macroeconomic situation. Growth in the economy (increases in GDP) would be accompanied by growth in salary and profit incomes, which would in turn generate higher revenue from taxes on such incomes. Progressive taxation may be one explanation for why direct tax revenue fluctuated more than GDP.	(2)
	(b)	Introduction of new types of indirect taxes, such as general sales tax or value-added tax, would make more people or commodities fall into the tax bracket, thus broadening the tax base.	(2)
	(c)	Tobacco duty would increase the market price of duty-paid cigarettes and thus reduce its quantity demanded. If cigarette consumers are addicted, their demand for cigarettes would be inelastic, so the percentage decrease in quantity demanded would be smaller than the percentage increase in price. In this case, even a huge increase in tobacco duty may not be effective in reducing the consumption of cigarettes.	(1) (3)

(d) Verbal elaboration:

On the one hand, due to the HK Customs' crack-down effort, the supply of duty-not-paid cigarettes would drop. On the other hand, as duty-paid cigarettes and duty-not-paid cigarettes are substitutes, tobacco duty would increase the demand for duty-not-paid cigarettes. It is thus possible that the total quantity of duty-not-paid cigarettes sold would increase if the increase in demand has a bigger effect on the quantity transacted than the decrease in supply.

(4)

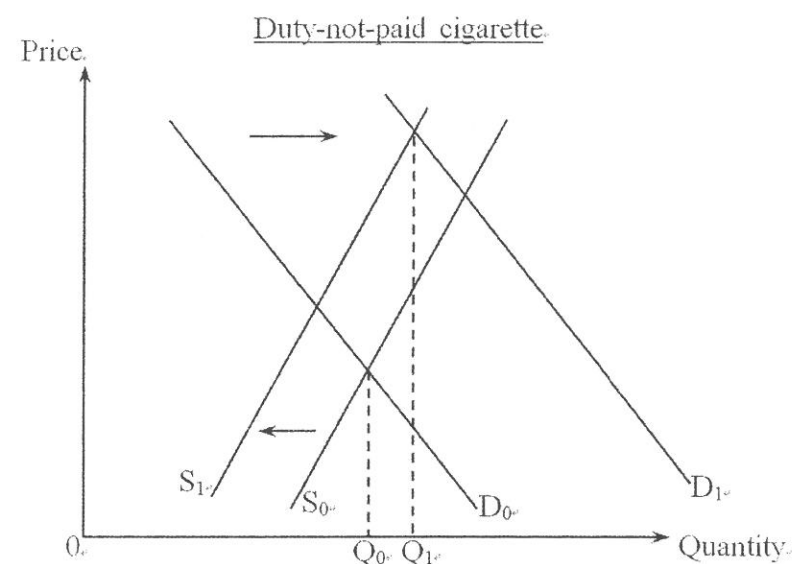
Indicate on the diagram:

- Rightward shift of the demand curve
- Leftward shift of the supply curve
- Final equilibrium with a higher quantity transacted

(1)

(1)

(1)



12. (a) A drop in the export of services to mainland tourists would reduce HK's current account surplus (or enlarge its deficit).

Marks

(1)

(1)

(b) Verbal elaboration:

Export would fall, resulting in a drop in aggregate demand, so output would fall back to Y_f .

(1)

(1)

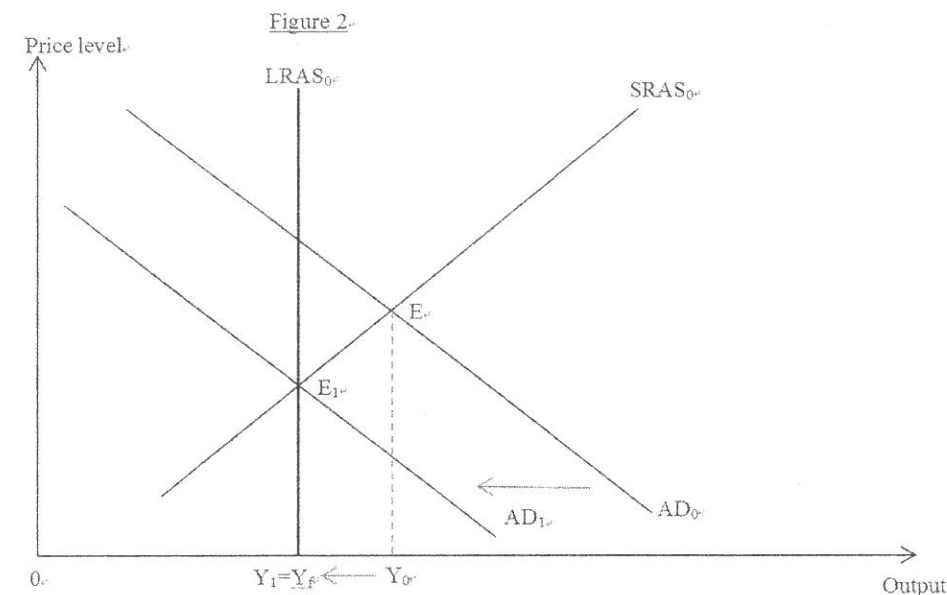
Indicate on the diagram:

- AD curve shifts to the left
- Correct position of initial short-run aggregate output Y_0
- Correct position of new short-run aggregate output $Y_1 (=Y_f)$

(1)

(1)

(1)



- (c) Hong Kong is facing an inflationary gap. There is an excess demand in the factor market, creating pressure for factor prices to adjust upward, so that costs of production would increase over time and short run aggregate supply (SRAS) would fall over time, restoring output to Y_f in the long run.

(4)

(d) Negative externality / divergence between private and social costs.

(1)

When the public transportation system is overcrowded (i.e., at full capacity), any additional passenger using the system would increase the time cost for other passengers without having to compensate them for this extra cost (implying a divergence between private and social costs). As marginal social cost is now higher than marginal social benefit, the number of passengers using the system would exceed its efficient level.

(3)

Section C

13. (a) Verbal elaboration:
Super Power will produce at the output level where Marginal Revenue = Marginal Cost.

Marks

(1)

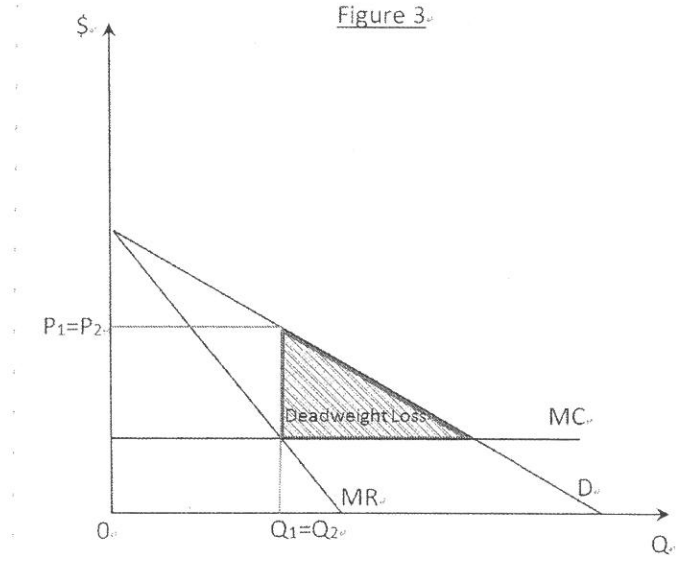
Indicate on the diagram:

- Correct position of Q_1
- Correct position of P_1

(1)

(1)

Figure 3.



- (b) Verbal elaboration:
At Q_1 , marginal benefit exceeds marginal cost.

(1)

Indicate on the diagram:

- Correct position of deadweight loss

(1)

- (c) (i) No. Since the lump sum tax is a fixed cost, which does not vary as output changes, it would not affect marginal cost.

(2)

(ii) Indicate on the diagram:

- Correct position of Q_2
- Correct position of P_2

(1)

(1)

- (d) Yes. Different groups of customers (domestic users and industrial users) are charged different prices for the same good (power used) produced at the same cost.⁷

(3)

- (e) Merger.
It restricts the entry of potential competitors.

(1)

(1)

- (f) The merger may reduce the average cost of production by lowering the cost of raw materials/ enjoying economies of scale. If Super Power transfers such benefits to the consumers via a reduction in the price of electricity, the merger may not be anti-competitive.

(2)

⁷ Assuming that the same technology is used to supply power for both domestic and industrial uses.

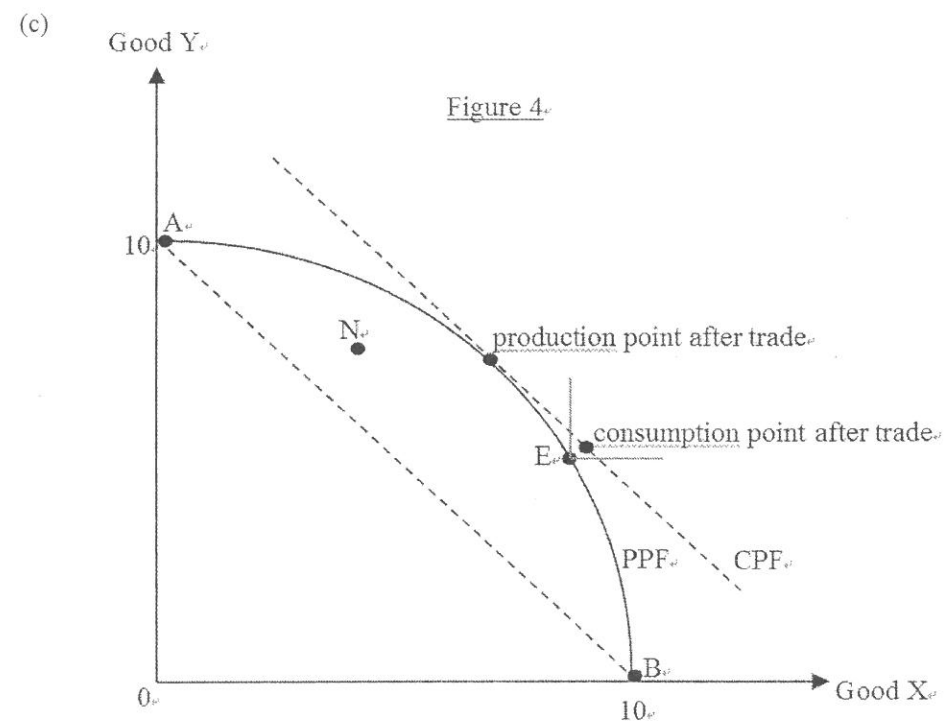
14. (a) No,
because there will be idle resources in the country / the country is not maximizing its production.⁸

Marks

(1)
(1)

- (b) No
Because, without trade, the domestic cost of good X trade in country A ($= 2.5Y$) exceeds the world price of X ($= 1Y$)
OR
Opportunity cost of 1 X = slope of the tangent of PPF at E $>$ slope of AB

(1)
(2)



- correct position of production point after trade
- tangency between CPF and PPF
- CPF is parallel to AB

(1)
(1)
(1)

- (d) Verbal elaboration:
Yes, because the country can consume beyond its PPF (which is also its CPF without trade) / the country can consume more of X and Y after trade.

(2)

Indicate on the diagram:

- Correct position of consumption point after trade

(1)

- (e) (i) Reason:
- GDP may increase because of trade-induced transfer of superior technology from its trading partners, resulting in an increase in productivity.
 - Exchange in health technology may increase life expectancy.
 - Any other relevant point
- [Mark the FIRST point only.]

} @1
max: 1

- (ii) Reasons:
- Workers in import-substitute industries may suffer unemployment
 - Income distribution may become more uneven
 - Pollution may increase (due to specialization in producing more "polluted" goods)
 - Any other relevant point
- [Mark the FIRST TWO point only.]

} @2
max: 4

⁸ The country may produce at point N if there exists unemployment due to, say, market frictions or structural changes

Candidates' Performance

Paper 1

Candidates' performance was generally satisfactory. The mean score of this paper is 28 out of 45 (i.e., 62%). The following questions deserve special attention.

Q.5 The schedule below shows the marginal cost of a firm in a perfectly competitive market.

Output (units)	3	4	5	6	7	8	9
Marginal cost (\$)	5	5.5	6	6.5	7	8	9.5

Suppose the rental of the machine hired, a fixed cost, increases by \$2 while the marginal cost for each unit of the output is reduced by \$0.5. As a result, the profit-maximising output of the firm _____ while the profit of the firm _____.

- A. increases ... decreases (12%)
- *B. increases ... may increase or decrease (41%)
- C. decreases ... decreases (19%)
- D. decreases ... may increase or decrease (28%)

This question tests the concept of costs and the profit-maximising condition of a price taker. Weaker candidates were unable to see that the rise in fixed cost and the fall in marginal cost have opposite effects on profit, so the overall effect is ambiguous. Among the brighter candidates who were able to correctly deduce the combined effect of cost changes on profit, some failed to realise that only the change in marginal cost affects output while a change in fixed cost does not.

Q.10 Which of the following will result in a rise in the total revenue of chicken farms?

- A. The price of chicken feed falls. (12%)
- B. The government reduces the profits tax rate on chicken farms. (32%)
- C. The effective quota on the sale of chickens is increased. (24%)
- *D. The government reduces the subsidy for the producers of pork. (32%)

This question tests candidates' ability to apply their knowledge about supply and demand. Many failed to realise that only a rise in demand would definitely result in an increase in total revenue. Any factors altering supply would have an uncertain effect on total revenue, depending on the price-elasticity of demand. Some candidates also confused a rise in total revenue with a rise in profit, which might have led them to choosing B as their answer.

Q.34 Which of the following are indirect taxes in Hong Kong?

- (1) property tax
 - (2) rates on property
 - (3) stamp duty on transfer of stock
 - (4) general sales tax
- A. (1) and (2) only (5%)
 - *B. (2) and (3) only (20%)
 - C. (1), (3) and (4) only (19%)
 - D. (2), (3) and (4) only (56%)

This question is about taxation in Hong Kong. While most candidates knew that general sales tax is one form of indirect taxes, only better candidates realised that Hong Kong does not have such a tax. Candidates who paid attention to recent developments in the Hong Kong economy would have been well aware of the current debate on whether we should introduce a general sales tax as a means of broadening the tax base and generating more stable tax revenue, and its potential side effects on output.

Q.44 The following table shows some information about the balance of payments of Country A.

Items	\$ million
Balance on goods	-1 200
Balance on services	700
Net factor income from abroad	200
Net current transfer	-100
Increase in reserve assets	180

According to the above data, which of the following statements are correct?

- (1) The current account deficit is \$400 million.
 - (2) Country A's GDP is smaller than its gross national product.
 - (3) The balance of payments surplus is \$180 million.
- A. (1) and (2) only (38%)
 - B. (1) and (3) only (25%)
 - C. (2) and (3) only (18%)
 - *D. (1), (2) and (3) (19%)

The question is a test of understanding of balance of payments (BOP). Many candidates were confused about the relation between the BOP and the change in reserve assets in the official reserve account (ORA). When the BOP is in surplus, there is an increase in reserve assets. This increase is recorded in the ORA as a debit item, so as to make the total amount of credit equal to the total amount of debit in the BOP.

Paper 2

Section A

Q. number	Performance in General
1(a)(i)	Excellent. Most candidates showed a good understanding of free good.
1(a)(ii)	Satisfactory. Many candidates failed to realise that free online access of MOOC implies that nobody is excluded from the consumption of such courses. Some candidates only stated the term “non-rival,” but missed the key idea of “non-rivalry or concurrent usage” in consumption.
1(b)	Satisfactory. The majority of candidates were able to point out that the full cost (including both monetary and non-monetary cost) should be considered. Some of them were unable to give a proper comparison between the non-monetary cost borne by a person taking MOOC and the full cost borne by a person taking a paid on-campus course. A few candidates confused the concepts of value and cost: they wrongly regarded the lack of opportunity to interact with lecturers and classmates as part of the non-monetary cost of MOOC.
2(a)	Good. A minority of candidates wrongly interpreted the types of production as “types of factors of production” or “types of market structure,” and therefore gave irrelevant answers.
2(b)	Fair. While most candidates were able to state the benefits of locating retail stores in Mong Kok, many failed to provide the external factors that lead to a reduction in average cost or to explain how agglomeration helps reduce costs for firms. Instead, they gave reasons related to internal economies of scale.
3	Satisfactory. Many candidates were able to illustrate diagrammatically and explain verbally the reduction in deadweight loss when an effective quota is increased. However, some were unable to provide a proper explanation for the reduction in deadweight loss (i.e., narrowing the gap between marginal benefit and marginal cost, or reducing the level of under-production). A minority of candidates represented the change in quota mistakenly as a leftward shift in the supply curve and gave a wrong discussion accordingly.
4(a)	Poor. Some candidates confused the functions of price with those of money.
4(b)	Good. A few candidates confused competitive supply with competitive demand (substitutes).
5	Fair. Contrary to what is stated in the question, some candidates assumed partial or no job replacement in the Hong Kong labour market as some workers moved to Macau. However, those who managed to provide logically consistent explanations were still given full credit. The following were common mistakes: – failure to realise that the unemployment rate is defined in percentage terms; – mistaking the constant number of job positions for constant number of unemployed persons; – skipping the comparison between the percentage decrease in the unemployed population and that in the labour force.
6(a)(i)	Excellent.
6(a)(ii)	Good. Most candidates were able to add the cash in public circulation to the deposit to calculate the money supply.
6(b)	Satisfactory. The most common mistake was to use the formula for money supply to calculate the monetary base.
6(c)	Satisfactory. Some candidates did not sum the cash in public circulation and the new amount of deposits to get the new money supply.

Q. number	Performance in General
7(a)	Good. A minority of candidates misinterpreted the word “ALL” as both countries having the same amount of resources, and thus gave an incorrect comparison.
7(b)	Satisfactory. Most candidates were able to use the information in the table to calculate the opportunity costs for both countries and to find the gains from trade. However, some candidates only calculated the per unit gain instead of the total gain. A very small number of candidates used their knowledge learned in elective 2 to answer the question. It should be noted that, instead of writing their answers (e.g., the opportunity costs of the two countries) properly in the designated space, some candidates simply scribbled them immediately next to the table in the question without explanations, making it difficult for markers to give any credit to such rough work.
8	Satisfactory. The majority of candidates managed to provide an evaluation of the policy proposals in terms of equality and aggregate output. Some common mistakes were as follows: – failure to analyse “equality” effects of the policies on “equality” in the sense of equalising opportunities and equalising incomes; – providing a discussion of the pros and cons of the two proposals without using the given criteria (i.e., equality and output); – stating the policy effects on such macroeconomic variables as consumption, investment, and government expenditure without relating them to the change in AD / SRAS / LRAS; – inaccurate use of terms like “real” output, “aggregate” output, and “potential” output.

Section B

Q. number	Performance in General
9(a)	Excellent.
9(b)	Good. Most candidates were able to identify the type of expansion and give a correct explanation.
9(c)	Good. Many candidates gave well-reasoned explanations for the lower price charged by McCafe. A minority overlooked keywords in the question and only offered such reasons for the price difference as costs and/or qualities without actually comparing the cost/quality difference between Starbucks and McCafe.
9(d)	Poor. Many candidates were under the misconception that the destroyed meat should be counted in GDP because it was bought by McDonald’s and should thus be included in its investment, or that it involves production and should thus be counted even if it is destroyed eventually. Those who were able to get their stands correct failed, however, to provide satisfactory explanations. Some regarded the expired meat as stock or non-final goods. Others stated that the values of these destroyed products were included in GDP when they were initially produced, so they should not be counted again or else they would be being counted twice.
10(a)(i)	Fair. Most candidates were able to point out that GDP would increase as production activities were involved in this case. However, some missed such keywords as “current” or “resident producing unit” in their answers. A minority of candidates either confused “resident” with “resident producing unit” or thought that both the coach’s salary and the revenue from the course should be counted in GDP.
10(a)(ii)	Satisfactory. Many candidates were able to state the relation between GDP and GNP and to identify the coach’s income as factor income from abroad.

Q. number	Performance in General
10(b)	Good. A few candidates did not analyse the problem from the perspective of the employer. Others only gave a term or a short phrase as answer without elaboration or application to the question.
10(c)	Good. A minority of candidates failed to indicate which kind of labour mobility (occupational or geographical) they were talking about.
11(a)(i)	Good. Most candidates were able to describe correctly the relation between the percentage change in direct tax revenue and the percentage change in nominal GDP, though only a small number of candidates compared their changes.
11(a)(ii)	Fair. Common mistakes included: - repeating the answers of 11(a)(i) without trying to explain the reasons behind the trend they had identified; - explaining why nominal GDP increased or decreased in particular years without explaining how these changes related to direct tax revenue; - arguing that a rise in direct tax revenue implies a rise in income, which would in turn result in an increase in consumption, investment, and thus GDP.
11(b)	Satisfactory. A minority of candidates wrongly gave some existing indirect tax (e.g., general rates and stamp duties) as their answers. Some failed to apply the concept of tax base to offer a proper explanation. Instead, they limited themselves to discussing the properties of indirect taxes, which were irrelevant to this question.
11(c)	Fair. The following mistakes were common: - neglecting the word “justify” and providing arguments <i>against</i> the statement; - over-emphasising the opportunity for the smokers to turn to the black market for cigarettes, while ignoring that the question only concerns duty-paid cigarettes; - mistaking “effectiveness” for “efficiency.”
11(d)	Fair. Although most candidates were able to apply the supply- demand model to this somewhat complicated case, some failed to provide a comprehensive analysis. Common mistakes included: - missing the keyword “duty-not-paid” and wrongly focusing the discussion on duty-paid cigarettes; - overlooking the effect of the rise in tobacco duty on the demand for duty-not-paid cigarettes; - mis-locating the new equilibrium point despite correct specification of the shifts in demand and supply curves.
12(a)	Excellent. A minority of candidates mistakenly thought that, with fewer tourists coming to Hong Kong, the export of goods would fall.
12(b)	Excellent. Most candidates were able to explain how a decrease in net export would lead to a fall in AD and its resulting output effects. A few candidates mistakenly thought that, as fewer tourists came to Hong Kong, less goods and services would be produced, so SRAS would drop.
12(c)	Satisfactory. Some candidates were unable to explain the adjustment in a logical and systematic way without the aid of a diagram.

12(d)	Satisfactory. The majority of candidates were able to state the negative external effects that would arise from overloading. However, only a few candidates were able to relate the increased travel time to the time cost and the higher marginal social cost. Many only stated the inefficiency condition as “MB not equal to MC,” without specifying that “MSC > MSB” in this particular case.
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Section C

Q. number	Popularity	Performance in General
13(a)	56%	Good. In their discussions, a minority of candidates mis-specified the “marginal cost = marginal revenue” condition as “marginal cost = marginal benefit” for profit maximisation.
13(b)		Good. A few candidates were able to state the inequality between marginal benefit and marginal cost, but failed to show it in Figure 3.
13(c) (i)(ii)		Fair. Some candidates did not realise that lump sum tax is a fixed cost. Others thought that a rise in fixed cost would result in a rise in marginal cost.
13(d)		Good. Most candidates were able to identify it as a case of price discrimination. However, some of them failed to give full justification; they either provided a term (e.g. third degree price discrimination) without elaboration or tried to analyse the case using an incomplete definition of price discrimination.
13(e)		Fair. Some candidates mistook the takeover for “exclusive dealing”. A few candidates confused vertical backward integration with forward integration.
13(f)		Satisfactory. A small number of candidates failed to state whether their arguments concerning beneficiaries apply to consumers only or to the society as a whole.
14(a)	44%	Good. Most candidates correctly stated that the country would not produce at point N. However, a small number did not mention the correct reason.
14(b)		Good. Some failed to give exact numbers to support their answers.
14(c)		Satisfactory. Most candidates were able to indicate the post-trade production point. Many candidates realised the new CPF should be tangent to the PPF, but many did not seem to understand that the CPF should also be parallel to the world price line. Some candidates presented an answer with complete specialisation. This is common in a constant-cost case but rare in an increasing-cost case.
14(d)		Fair. While many candidates were able to point out that the country can increase its consumption of both X and Y, some of them failed to indicate the possible consumption point(s) in the diagram.
14(e)(i)(ii)		Good. A common mistake in part (i) was a failure to link international trade to the increase in life expectancy and/or years of schooling, resulting in the rise in HDI.

General comments and recommendations

1. Some candidates lack a thorough understanding of basic economic concepts and principles, and thus have difficulty in applying them to solve hypothetical or real-life problems. Candidates should strengthen their analytical skills instead of simply regurgitating concepts and theories.
2. Some candidates do not read all the questions carefully. Candidates should devote special attention to the assumptions and conditions laid down in the questions so as to avoid giving irrelevant answers.
3. Some candidates provided convoluted answers. Candidates should equip themselves with better language abilities as well as graphical skills, and present their answers in a clear and precise way.
4. Some candidates were unaware of current economic issues. Candidates should pay more attention to economic news.
5. Some candidates showed a weakness when extracting information from tables and graphs as well as when drawing well-labelled diagrams. Candidates should pay special attention to the headings, labels, and axes as they are essential to our understanding of the data presented therein.

Acknowledgements

Material from the following publications/web-sites has been used in question papers in this volume:

Census and Statistic Department	Table 193 : Government Revenue (General Revenue Account and Funds) http://www.censtatd.gov.hk/hkstat/sub/sp110.jsp?tableID=193&ID=0&productType=8
Census and Statistic Department	2014 Gross Domestic Product http://www.statistics.gov.hk/pub/B10300022014AN14E0100.pdf
www.wsj.com	China's Yu'e Bao Fund Posts Strong Growth in First Quarter http://www.wsj.com/articles/SB10001424052702304626304579508500327239682

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